Preparer Review Notes & Workpapers - 2024 Form 1040

Clients: Robert Smith Jr. (SSN xxx-xx-5555) & Lisa Marie Smith (SSN xxx-xx-6666) | **Filing status:** Married filing jointly | **Residence:** 123 Smith Street, San Antonio, TX 78253 (Bexar County) - no state income tax return required
Prepared by: Tax Preparer (mid-level) | **For review by:** Senior Accountant | **Status:** Draft - ready for review; open items below

1. Result summary

Item	Form 1040 line	Amount
Total income	9	361,246
Adjustments (educator expenses)	10	300
Adjusted gross income	11	360,946
Itemized deductions (exceed $29,200 standard deduction by $2,492)	12	31,692
QBI deduction (Sec. 199A REIT dividends)	13	43
Taxable income	15	329,211
Regular tax (QDCG worksheet)	16	62,280
Child tax credit (3 children)	19	6,000
Schedule 3 credits (FTC $211 + dependent care $328)	20	539
Additional Medicare Tax $931 + NIIT $1,301	23	2,232
Total tax	24	57,973
Withholding	25d	25,394
Estimated payments	26	13,685
Excess social security tax (Robert - 2 employers)	31	4,113
Total payments	33	43,192
Balance due (before any penalty/interest)	**37**	**14,781**

Effective federal rate on AGI: 16.1%. Marginal ordinary rate 24%; LTCG/qualified dividends 15% (+3.8% NIIT).

2. Open items & points requiring reviewer attention (priority order)

1. **Filing date / late-filing exposure.** The 2024 return was due 4/15/2025 (10/15/2025 if extended). Today is 11/11/2026. Confirm whether Form 4868 was filed. With a $14,781 balance due, the IRS will assess failure-to-pay (0.5%/mo) and interest, plus failure-to-file (5%/mo, max 25%) if no extension was filed. Consider first-time abatement request. TY2024 can still be e-filed under MeF. Line 38 left blank; IRS will compute.

2. **Lisa W-2 (Compress Middle School) - box 12a has NO code.** Amount $26,406.43 is clearly a pre-tax elective deferral (box 1 $92,068.87 = box 3/5 $118,475.30 - $26,406.43). Lisa was 48 at 12/31/2024, so the age-50 catch-up is unavailable. If it is a single 403(b) (code E) or 401(k) (D), it exceeds the 2024 Sec. 402(g) limit of $23,000 by $3,406.43 (by $406.43 if she qualifies for the 403(b) 15-year-of-service catch-up of $3,000). **Return prepared using W-2 box 1 as issued.** If an excess deferral exists, add it to Form 1040 line 1h (est. +$817 tax at 24%; no effect on credits, NIIT, or deduction tables) and confirm the plan distributes the excess and earnings. If the amount is split between a 403(b) and a 457(b) (code G - separate limit), no adjustment is needed. **Action:** obtain W-2c or payroll/plan detail. Box 12b code DD ($57,342.01, employer health coverage) is informational only.

3. **Estimated-tax underpayment penalty (Form 2210) not computed.** Required annual payment is the lesser of 90% of 2024 tax ($52,176) or 110% of 2023 tax (2023 AGI presumed > $150,000). Withholding + excess SS tax ($29,507) + estimates ($13,685) = $43,192. A penalty is likely unless 2023 total tax was about $39,265 or less. Need 2023 return (and could use annualized method if income was uneven). Recommend W-4 changes for 2025/2026: Robert has two jobs (neither employer withholds for the combined income), plus NIIT and Additional Medicare Tax are not covered by withholding.

4. **Wash sale on a gain transaction (Lisa, Retro Investing Co. 1099-B).** Box 1g shows $468.41 wash sale loss disallowed even though the lot was sold at a $32,609 gain. Reported per Form 8949 instructions (Box D, code W, +$468 adjustment) so the return matches IRS matching data; tax effect is about $88. Suggest confirming with the broker's supplemental statement - if box 1g is a broker error, request a corrected 1099-B.

5. **Sales tax deduction (Schedule A line 5a) - optional table used.** Texas has no income tax, so general sales tax was elected: TX table, income $300,000+, family size 5 = $2,246; local rate 2.00% (City of San Antonio, 8.25% combined) / 6.25% state = 0.320 x $2,246 = $719; total $2,965. ZIP 78253 includes some unincorporated Bexar County areas. If the home is outside city limits, the local rate (and the $719) may change. Itemizing still beats the standard deduction even with zero local tax ($30,973 vs. $29,200). Ask whether they bought a vehicle or other big-ticket item in 2024; only $287 of SALT cap room remains.

6. **Charitable substantiation.** $2,500 American Red Cross (Sept. 2024) requires a contemporaneous written acknowledgment (gift of $250 or more). Church $150 x 12 = $1,800: each gift is under $250, but bank records or a church receipt are still required. Neither document was provided; the deduction assumes these will be obtained. Without the $4,300, itemized deductions would fall to $27,392, below the standard deduction (see sec. 4a sensitivity).

7. **Dependent care (Form 2441).** Qualified expenses limited to the twins (ages 6): $820 each = $1,640 x 20% = $328 credit. Judith (age 14 at year-end, not disabled) is not a qualifying person; her $600 is excluded. The provider statement shows a Dallas address (EIN 45-4564564) while the family lives in San Antonio. Confirm the care location and that the payments were for care (not education/tuition). No employer dependent care benefits (W-2 box 10 blank).

8. **Long-term care premiums.** $5,500 paid for each spouse. Deductible portion is limited by age at 12/31/2024 (Robert 50, Lisa 48: $880 each = $1,760), and that is well under the 7.5%-of-AGI floor ($27,071). No deduction results, but it is shown on Schedule A line 1 for completeness. Confirm the policy is tax-qualified (letter says "Guaranteed Renewable"). The letter shows ZIP 78523 (typo for 78253).

9. **Student loan interest (1098-E, Lisa): $4,312** - fully phased out (2024 MFJ MAGI phase-out $165,000-$195,000; MAGI $360,946). Schedule 1 line 21 = $0.

10. **Educator expenses.** Lisa reported about $730 of classroom expenses. Deduction is limited to $300 (eligible K-12 educator, 900+ hours assumed). The remaining $430 is not deductible (unreimbursed employee expenses suspended through 2025). Receipts should be retained.

11. **Foreign tax credit.** $211.05 on 1099-DIV (country "VARIOUS"). Claimed directly on Schedule 3 line 1 without Form 1116 under the de minimis election (all passive income, all reported on a payee statement, under $600 MFJ). Claiming the credit is better than an itemized deduction.

12. **Mortgage (Form 1098).** Interest $17,678.69; outstanding principal $565,774; origination date reads 05/06/2020 (scan quality is poor, possibly 2021). Either way the loan postdates 12/15/2017 and is under the $750,000 limit, so it is fully deductible. Real estate taxes of $6,748.32 paid from escrow (box 10) used on Schedule A line 5b. Assumed no cash-out/refi proceeds used for non-home purposes (line 8 box unchecked).

13. **Other confirmations:** (a) TX Lending Co. 1099-INT is marked CORRECTED; used corrected amount $107.88. (b) Robert's short-term sale (11 sh., basis $6,750.88, proceeds $56.78) reported basis to IRS with no 1g amount. Confirm no repurchase within 30 days. (c) Lisa's W-2 shows a masked SSN; intake SSN 444-55-6666 used. (d) Dependents' SSNs, DOBs, and full-year residency per intake. All three qualify for CTC (under 17, valid SSNs). (e) Presidential Election Campaign fund not elected (not asked in intake). Third-party designee: No. (f) Direct deposit declined; balance due - payment method (Direct Pay/EFTPS/check) to be arranged. (g) Form 8879 and Form 8867 Q15 to be signed/confirmed by signing preparer.

3. Source document to return mapping

Document	Key amounts	Return treatment
W-2 Company X (Robert)	Box 1 $132,465.05; FIT $9,642.23; SS tax $8,212.83; Medicare wages $132,465.05 / tax $1,920.74	1040 L1a, L25a; Sch 3 L11; F8959
W-2 Zixbo Services Group (Robert)	Box 1 $102,468.69; FIT $7,465.85; SS tax $6,353.06; Medicare $102,468.69 / $1,485.80	1040 L1a, L25a; Sch 3 L11; F8959
W-2 Compress Middle School (Lisa)	Box 1 $92,068.87; FIT $8,286.20; SS/Medicare wages $118,475.30; Medicare tax $1,717.89; 12a (no code) $26,406.43; 12b DD $57,342.01	1040 L1a, L25a; F8959; see open item 2
1099-INT TX Lending Co. (Robert, corrected)	Box 1 $107.88	Sch B; 1040 L2b; F8960
1099-INT Yellow Rose Bank (Robert)	Box 1 $39.99	Sch B; 1040 L2b; F8960
1099-INT Yellow Rose Bank (Lisa)	Box 1 $968.22	Sch B; 1040 L2b; F8960
1099-DIV Yellow Rose Bank (Lisa)	1a $6,744.05; 1b $4,897.86; 5 (199A) $214.79; 7 foreign tax $211.05	Sch B; 1040 L3a/3b; F8995; Sch 3 L1; F8960
1099-B L&R; Investment Advisors (Robert)	ST, acq 03/08/24, sold 07/06/24; proceeds $56.78; basis $6,750.88 (reported to IRS)	Sch D L1a: ($6,694)
1099-B Retro Investing Co. (Lisa)	LT, acq 04/08/19, sold 08/25/24; proceeds $43,877.03; basis $11,268.00; 1g $468.41	F8949 Box D (code W) -> Sch D L8b: $33,077
1098 TX Lending Co.	Interest $17,678.69; RE taxes (box 10) $6,748.32; principal $565,774	Sch A L8a, L5b
1098-E TX School Lending (Lisa)	Interest $4,312	Sch 1 L21 = $0 (phase-out)
Estimated payments schedule	4/2/24 $3,380; 7/4/24 $3,275; 10/2/24 $3,455; 1/5/25 $3,575 (Q4 2024)	1040 L26 $13,685
Children First Child Care statement	Total paid $2,240 (Robert III $820; Melissa $820; Judith $600)	F2441: qualified $1,640
Texas Insurance Co. LTC letter	$5,500 each spouse, paid 12/21/2024	Sch A L1 (limited $1,760); no benefit
Intake: charity	Red Cross $2,500; church $1,800	Sch A L11 $4,300
Intake: educator expenses	Lisa about $730	Sch 1 L11 $300

4. Key computations

4a. Itemized vs. standard deduction

Schedule A line	Amount
L4 Medical (LTC $1,760 less 7.5% AGI $27,071)	0

Schedule A line	Amount
L5a General sales tax (table $2,246 + local $719)	2,965
L5b Real estate tax	6,748
L5e SALT (cap $10,000)	9,713
L8a Mortgage interest	17,679
L11 Cash charitable	4,300
L17 Total itemized	31,692
2024 MFJ standard deduction	29,200

Sensitivity: without the sales tax election itemized = $28,727 and without the charitable gifts itemized = $27,392. In either case the $29,200 standard deduction would apply, reducing the deduction by $2,492 (about $598 more tax at 24%).

4b. Qualified Dividends and Capital Gain Tax Worksheet (Form 1040 line 16)

Line	Description	Amount
1	Taxable income (1040 L15)	329,211
2	Qualified dividends (L3a)	4,898
3	Smaller of Sch D L15 or L16	26,383
4	Add lines 2 and 3	31,281
5	Ordinary income portion (L1 - L4)	297,930
6-9	0% bracket threshold $94,050; amount taxed at 0%	0
10-17	Amount taxed at 15% (15% bracket top $583,750)	31,281
18	15% tax on line 17	4,692.15
22	Tax on line 5 ($297,930) - Tax Computation Worksheet: x 24% - $13,915	57,588.20
23	Add lines 18, 21, 22	62,280.35
24	Regular tax on line 1 (comparison)	65,095.64
25	**Tax - smaller of line 23 or 24 (rounded)**	**62,280**

4c. Other taxes, credits and payments

Computation	Detail	Result
Additional Medicare Tax (F8959)	Combined Medicare wages $353,409 - $250,000 MFJ threshold = $103,409 x 0.9%. No employer withheld additional Medicare tax (no single W-2 over $200,000), so line 24 = $0.	931
NIIT (F8960)	NII = interest $1,116 + dividends $6,744 + net gain $26,383 = $34,243 (no allocable deductions). MAGI excess $110,946. Lesser $34,243 x 3.8%.	1,301
Excess SS tax (Sch 3 L11)	Robert: $8,212.83 + $6,353.06 = $14,565.89 - $10,453.20 (6.2% x $168,600). Lisa single employer, OK.	4,113
Child tax credit (Sch 8812)	3 qualifying children x $2,000; AGI below $400,000 phase-out; credit limit worksheet A $61,741.	6,000
Dependent care credit (F2441)	$1,640 qualified (2 children under 13) x 20% (AGI > $43,000); limit $62,069.	328
Foreign tax credit (Sch 3 L1)	1099-DIV box 7, de minimis election (no Form 1116).	211
QBI deduction (F8995)	20% x $215 qualified REIT dividends; income limit 20% x $297,973. Taxable income before QBI $329,254 < $383,900, so the simplified form applies.	43
AMT screen (F6251 not required)	AMTI $338,924 (TI + SALT $9,713) - exemption $133,300 = $205,624; TMT about $50,021 vs regular tax less FTC $62,069.	No AMT
Student loan interest	MAGI $360,946 > $195,000 MFJ phase-out ceiling.	0
Estimated payments	$3,380 + $3,275 + $3,455 + $3,575 (1/5/2025 payment applies to 2024 Q4).	13,685

5. Assumptions made (no client follow-up performed per instructions)

• W-2 box 1 amounts accepted as issued (see open item 2 on missing box 12a code and possible excess deferral).

• Lisa qualifies as an eligible educator (K-12, at least 900 hours). The $300 cap applies.

• Combined local sales tax rate of 2.00% (City of San Antonio). No 2024 purchases of vehicles, boats, or home materials that would add specified-item sales tax.

• Charitable contributions are cash/check to qualified organizations with required substantiation available. No goods or services received.

• Home acquisition debt: all 1098 loan proceeds were used to buy, build, or improve the main home.

• Long-term care policy is tax-qualified. No other unreimbursed medical expenses (none reported in intake).

• Robert and Lisa are U.S. citizens with valid SSNs. The children lived with them all year and have SSNs valid for employment (issued before the return due date).

• No foreign accounts, digital assets, or foreign trusts (intake answers). Schedule B Part III answered "No".

• No 2023 overpayment applied to 2024. All four estimated payments were made to the IRS under Robert's SSN for the joint account.

• Amounts on the forms are rounded to whole dollars. Multi-item totals were added with cents before rounding, per IRS instructions.

• IRS-form facsimiles were generated for review. Final e-file data will be keyed into the firm's tax software after review, and line references match the 2024 official forms.